

ECONOMIC REPORT

August 31, 2012



THE MASSACHUSETTS CREDIT UNION INDUSTRY IN 2012:

In the Eye of the Storm

An Economic Report
prepared by

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for the

Massachusetts Credit Union

Share Insurance Corporation (MSIC)

MSIC[®]
Center for
CREDIT UNION GOVERNANCE

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The Massachusetts Credit Union Share Insurance Corporation (MSIC) was established by a special Act of the Massachusetts Legislature in 1961. A member owned, not for profit organization, MSIC's mission is to promote and strengthen the credit union movement by providing excess share and deposit insurance and associated services for credit unions and their members while preserving the integrity of the insurance fund.

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Introduction¹

The discussion of economic and industry conditions that follows is designed to inform the strategic planning efforts of the senior management and the Boards of Directors of Massachusetts credit unions and to provide state and federal regulators and public policymakers with greater insight into the challenges these conditions present to community based financial institutions across the Commonwealth.

The State of the State Economy

For the second quarter of 2012, the MassBenchmarks Current Economic Index estimated that gross state product expanded at an annualized rate of 4.0 percent, while the U.S. Bureau of Economic Analysis estimated that the nation expanded at a 1.5 percent rate during the same period.

As seen in Figure 1, the growth of the Massachusetts economy has consistently outpaced that of the U.S. in recent years. In June, the U.S. Bureau of Economic Analysis reported that the Commonwealth grew at the seventh fastest pace of all 50 states during 2011, and this trend appears to have continued through the first half of 2012.

A similar trend can be seen in the state's labor market. The state's headline unemployment rate has fallen steadily and stood at 6.0 percent in June. In contrast, the U.S. unemployment rate has remained consistently above 8.0 percent (8.2 percent in June). While state employment data is subject to revision and should be interpreted cautiously², recent tax collection data is consistent with solid employment growth.

While these improvements are welcome, long-term unemployment and underemployment continue to be major challenges for the Commonwealth and the nation. In June, the broader U6 measure of unemployment (which includes discouraged and marginally attached workers, and those working part-time because they can't find full-time work) was 12.2 percent in Massachusetts and 14.9 percent nationally.

Despite these challenges, Massachusetts is slowly but surely approaching its pre-Great Recession employment level. However, it remains significantly below its dot-com bubble peak in early 2001. In June, Massachusetts was home to 59,900 fewer jobs than its pre-recession peak in February 2008 and 140,500 jobs below its February 2001 level. When one considers the most recent data³, Massachusetts added an estimated 39,100 jobs in 2011. Even if this respectable pace of job growth can be maintained, the Commonwealth will still end 2012 below its February 2008 employment levels and remains several years away from regaining its 2001 peak at its current pace.

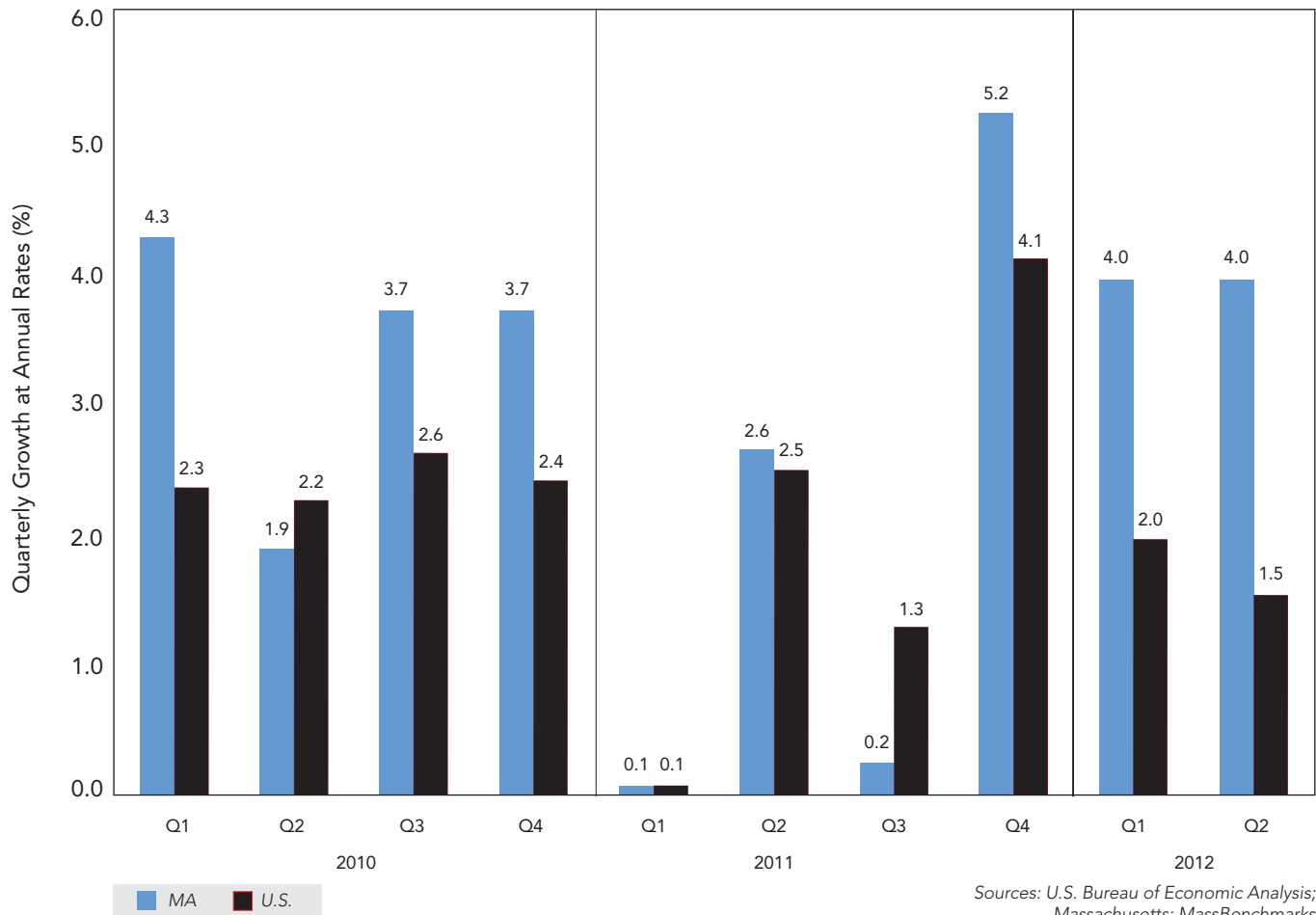
¹ Special thanks are due to MSIC's Geoff Plume for his assistance in the analysis of Massachusetts credit union data. I would like to thank UMass Amherst's Robert Nakosteen who provided insightful feedback on early drafts of this report and the FDIC's Frederick Breimyer for his assistance with housing market data.

² See Clayton-Matthews, Alan (2012). *Newly Released Data Change our Understanding of Job Growth in 2011*. Accessed at: <http://www.massbenchmarks.org/publications/issues/vol14i1/6.pdf> on July 28, 2012.

³ See http://www.massbenchmarks.org/publications/bulletin/22_bulletin_071212/index.htm, accessed on July 28, 2012.

Figure 1

Growth in Real Gross State Product, Massachusetts vs. U.S.



The Beleaguered Consumer

While the income disruption that millions of American households are experiencing as a consequence of unemployment and underemployment is clearly slowing the national economic recovery, the lingering impact of the Great Recession and the associated financial crisis is compounding the challenges facing U.S. consumers as they seek to repair their household balance sheets.

The scale of the impact of the financial crisis on U.S. households is significant. According to the Federal Reserve Board's latest Survey of Consumer Finances, between 2007 and 2010 the pre-tax median income of U.S. families declined by an estimated 7.7 percent while the median net worth of U.S. families fell by a jaw-dropping 38.7 percent in the same period⁴. Not surprisingly, consumers have reacted by continuing to "deleverage" by paying down their debts and altering their consumption patterns to bring their expenditures in line with their income.

⁴ Jesse Bricker, Arthur B. Kennickell, Kevin B. Moore, and John Sabelhaus (2012). *Changes in U.S. Family Finances from 2007 to 2010: Evidence from the Survey of Consumer Finances*. Federal Reserve Bulletin, vol. 98, no 2, (February 2012), pp. 1-80.

In light of these conditions, consumers in both Massachusetts and the U.S. have been understandably skittish in recent years (see Figure 2). As Betsey Stevenson and Justin Wolfers have recently noted⁵, confidence levels as well as national economic activity slowed demonstrably following the Debt Ceiling debate last summer that resulted in the lowering of the nation's credit rating. Given that a similar debate is expected later in the year, a repeat performance would likely be very costly, both in terms of consumer confidence and real economic activity.

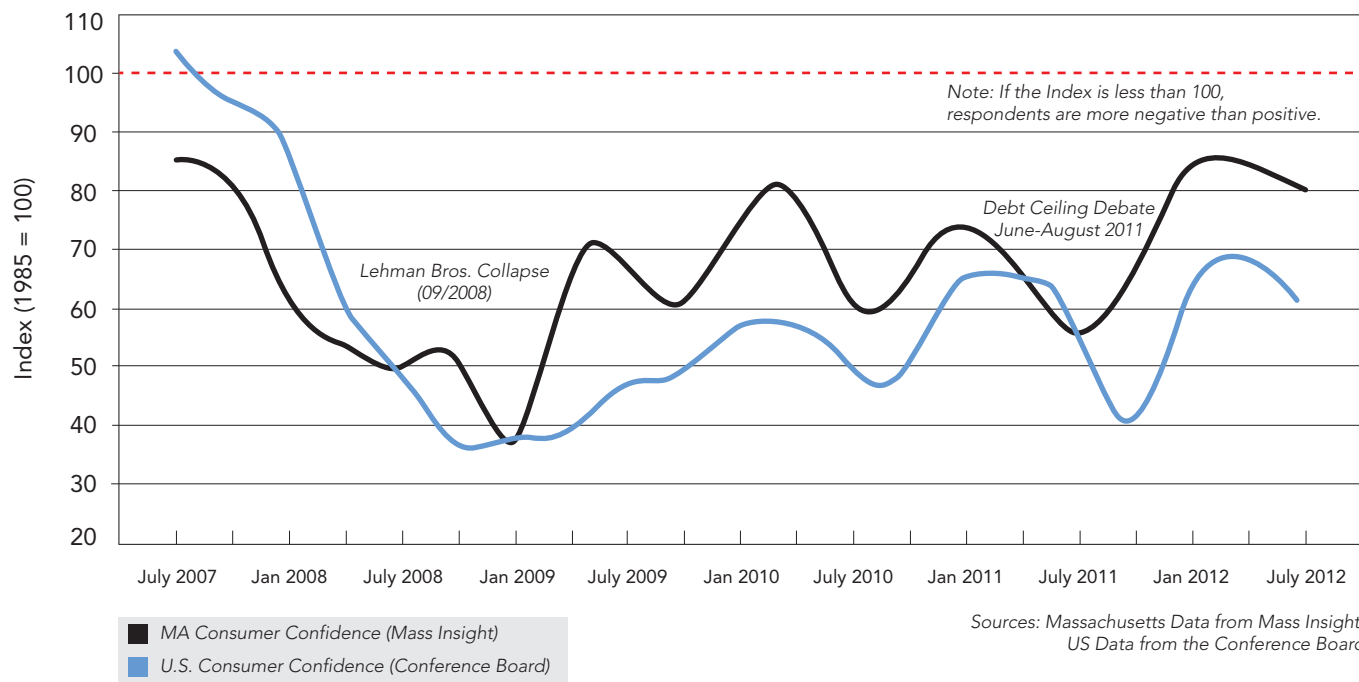
Notwithstanding the substantial pressures on household incomes and confidence levels, consumer spending on items subject to the regular sales tax and motor vehicle sales tax has been growing in Massachusetts. This spending grew at a 6.5 percent annual rate in the second quarter of 2012 following a 10.9 percent decline in the first quarter. Year over year (between Q2 2011 and Q2 2012), this measure of discretionary consumer spending grew 3.8 percent⁶.

To date, the Commonwealth has been able to buck the national trend due in large part to its robust "innovation sectors," which have become a major growth driver for the state economy. These sectors – which include information technology, life sciences, and other engineering and research intensive enterprises – have benefitted from consistently strong business investment in equipment and software and have steadily added well paying jobs to their payrolls in recent years. This has had the effect of spurring consumption in those households and regions that benefit directly and indirectly from the presence of these innovative industries.

While as of yet these developments provide little consolation to the hundreds of thousands of unemployed and underemployed workers across the Bay State who are not fortunate enough to work in or near these key industries, they do help to explain how aggregate consumer spending in Massachusetts has continued to rise despite the many real financial pressures facing a significant portion of the state population.

Figure 2

Consumer Confidence Remains Weak and Highly Volatile



⁵ See <http://www.bloomberg.com/news/2012-05-28/debt-ceiling-deja-vu-could-sink-economy.html>, accessed on July 28, 2012.

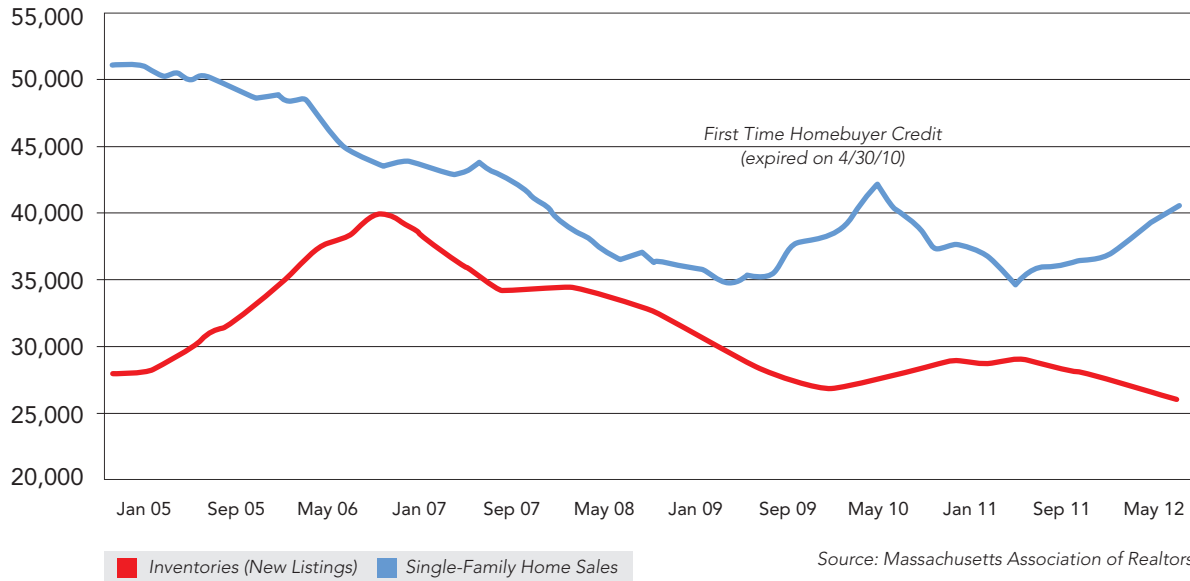
⁶ See http://www.massbenchmarks.org/publications/bulletin/23_bulletin_072712/index.htm, accessed on July 28, 2012.

A Bottom For The State Housing Market?

After nearly seven years of consistent decline, the Massachusetts housing market is finally showing signs that it may have reached the bottom of what has been its most extended slump in generations. Outside of the luxury condominium market in the immediate Greater Boston area, clear evidence of price appreciation is lacking. However, single-family home sales have picked up significantly in recent months (see Figure 3).

Figure 3

12-Month Cumulative Single-Family Home Sales and Inventories (through June, 2012)



Unlike their national counterparts, the Massachusetts Association of Realtors does not report the share of single-family home sales that are the result of foreclosure related “short-sales” which makes it difficult to assess the extent to which recent trends are being affected by the disposition of distressed properties rather than positive market developments. While Massachusetts has not had to contend with as difficult a housing downturn as many other states, the sheer scale of this potential impact suggests any optimism about a housing market recovery in the Bay State should be of the cautious variety.

In June, the National Association of Realtors (NAR) reported that 25 percent of single-family home sales in the U.S. were distressed properties. According to the NAR: “Foreclosures sold for an average discount of 18 percent below market value in June, while short sales were discounted 15 percent⁷.”

While new foreclosures are continuing to enter the pipeline, conditions are clearly improving, particularly in communities that have been home to a disproportionate share of these distressed properties. According to the Massachusetts Housing Partnership’s Foreclosure Monitor, between April, 2011 and April, 2012 the share of distressed units per thousand declined by 8.6 percent statewide. In Brockton and Worcester, the decline during the same period was 17.3 percent and 22.5 percent, respectively⁸.

⁷ See <http://www.realtor.org/news-releases/2012/07/june-existing-home-prices-rise-again-sales-down-with-constrained-supply>, accessed on July 30, 2012.

⁸ See http://www.mhp.net/vision/resources.php?page_function=detail&resource_id=483, accessed on July 30, 2012. On July 26th, Realty Trac identified Boston, Worcester, and Springfield as three of the top ten Metro Areas in which to purchase or invest in foreclosed properties. For more information, see <http://www.realtytrac.com/content/foreclosure-market-report/midyear-2012-metro-foreclosure-market-report-7305>, accessed on July 30, 2012.

Rising sales and falling inventories (see Figure 3) are clearly helping to stabilize home prices – the average monthly change in median home price during the second quarter of 2012 in Massachusetts was flat (+0.17 percent) – and even if a significant portion of sales activity is being driven by distressed properties, the disposition of these properties is a necessary precondition for a more sustainable recovery in home prices.

Should this trend continue, increasing sales volumes and record-low mortgage interest rates should provide credit unions and other community based financial institutions with opportunities to compete for the increased demand for mortgage lending and refinancing services that can be expected to follow.

The Slowly Recovering Commercial Real Estate (CRE) Market

The Greater Boston area remains the growth engine of the state's economy and is home to the majority of the Commonwealth's commercial and industrial real estate activity. While Grubb and Ellis's most recent market analysis⁹ indicates that vacancy rates are continuing to fall in the Greater Boston region, putting some upward pressure on rents, they also document a "flight to quality" with much of the activity being driven by rising demand for Class A office space in Boston's Central Business District.

While aggregate statistics also suggest solid growth in rentable office space under construction, this data masks the fact that this growth has been concentrated in Boston's Seaport District where Vertex Pharmaceuticals is currently building a new 1.1 million square foot corporate headquarters.

While little data is available describing conditions in CRE sub-markets outside of the Greater Boston area, the further one travels from Boston the higher the vacancy rates, consistently exceeding 20 percent in suburban Boston in areas outside of Route 128¹⁰. This suggests that CRE market challenges in the rest of state are far from over.

The disconnect between the fortunes of central city and suburban CRE rental markets is also playing itself out nationally in CRE property values. The latest Moody's/RCA Commercial Property Price Indices¹¹ document rising prices in the nation's Central Business Districts and continued price declines in suburban markets.

While most Massachusetts credit unions do not rely heavily on commercial real estate lending, the slow pace of the recovery of the CRE market, particularly outside the immediate Boston area, can be expected to continue to put pressure on developers, contractors, and those small businesses that rely upon their spending. These are, in many cases, important customer segments for community based financial institutions and consequently, while the direct exposure of individual credit unions to the CRE market is limited, their indirect exposure may in some cases be meaningful.

⁹ Grubb and Ellis, *Boston Area Office Trends Report—First Quarter 2012*.

¹⁰ *Op. Cit.*

¹¹ See, http://www.rcanalytics.com/public/rca_indices.aspx, accessed on August 8, 2012.

The Massachusetts Credit Union Industry

As has been the case for the past several years, the impact of economic conditions on small and medium sized financial institutions in Massachusetts and nationally has been significant. The very low interest rate environment combined with muted loan demand and rising regulatory compliance costs continues to put severe pressure on profitability and competitiveness. These conditions are not expected to change anytime soon.

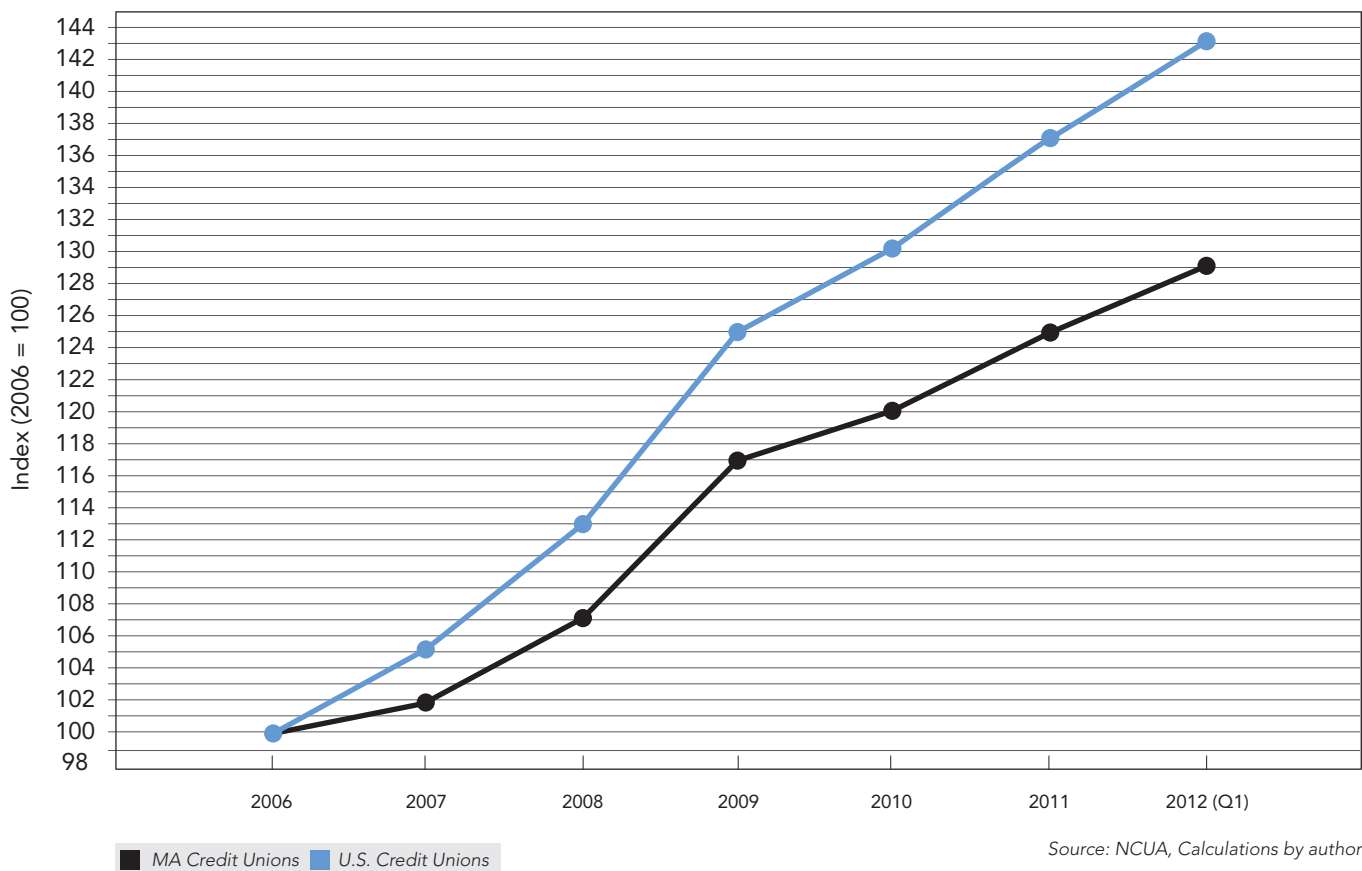
The statements and actions of the Federal Reserve Board's Open Market Committee suggest that monetary policy will continue to be accommodative for the foreseeable future. The continued demand for U.S. Treasury bonds, despite real negative yields, provides strong evidence that the market shares this expectation.

Notwithstanding the nation's substantial long-term fiscal challenges, inflation expectations appear to be well contained. While volatility can be expected in energy and food prices in light of continued instability in major oil producing regions and as a consequence of current drought conditions in the U.S., the Federal Reserve Bank of Cleveland's Estimates of Inflation Expectations indicates that markets expect U.S. inflation to average less than 2 percent over the next decade¹².

In this environment, credit union deposits have continued to grow robustly both regionally and nationally as nervous members continue to seek safe and secure places to park their savings in a highly uncertain time (see Figure 4).

Figure 4

Shares and Deposits Continue to Grow Robustly



¹² These estimates are consistent with the inflation expectations implied by the so-called "break-even" rate of interest derived from the prices of inflation protected (TIPS) bonds being issued by the U.S. Treasury.

Under more normal circumstances, this influx of liquidity would provide these institutions with the flexibility to make more loans and investments but, while in absolute terms total loans are holding their own, they are declining as a proportion of assets (see Figures 5 and 6) and traditional risk free investment opportunities are not generating returns that exceed the cost of funds in the current low interest rate environment.

Figure 5

While loan growth has remained modest...

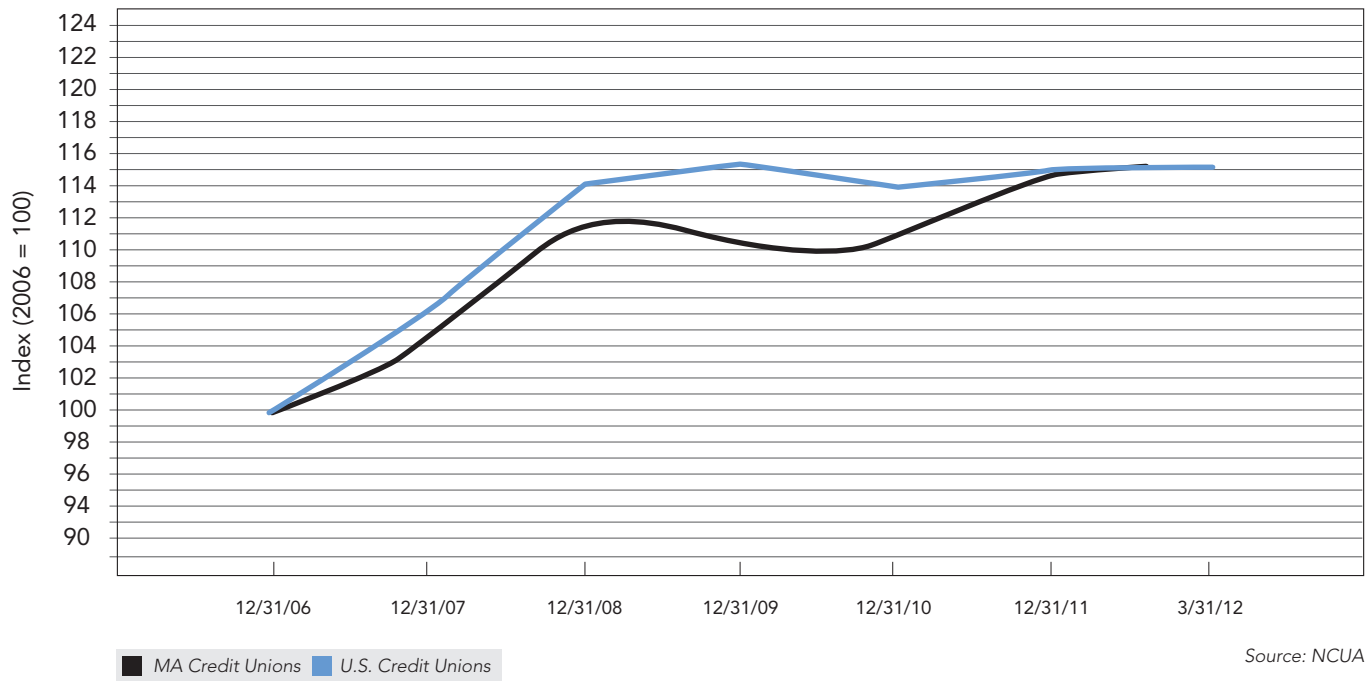
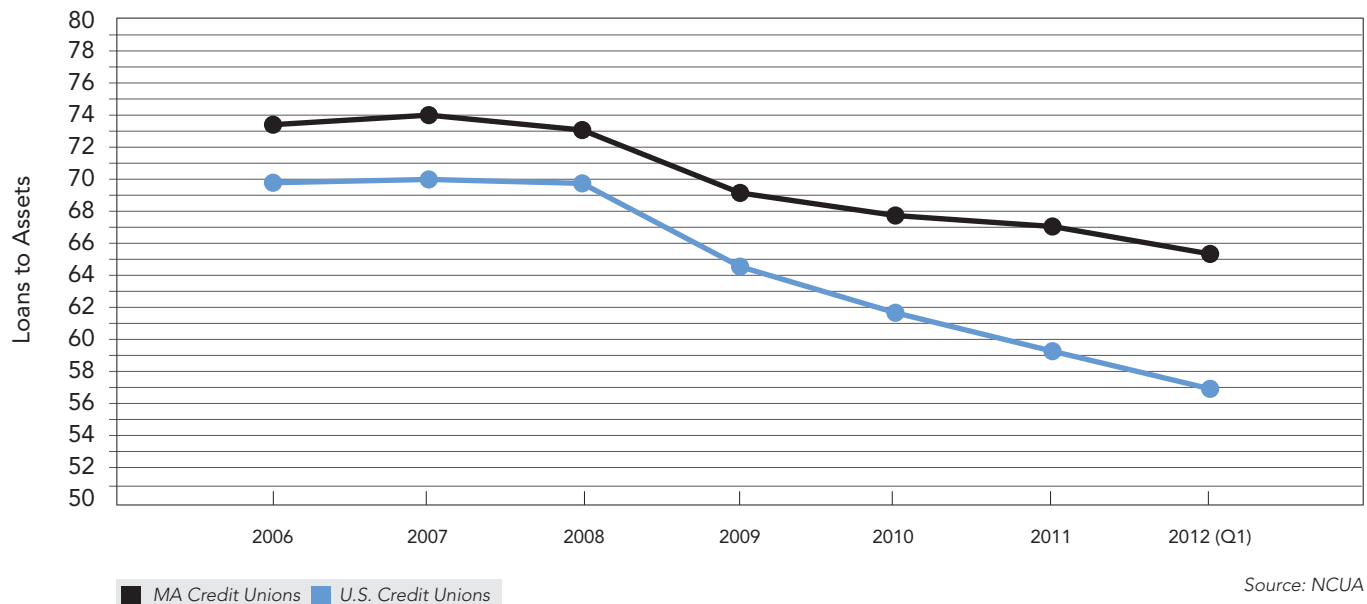


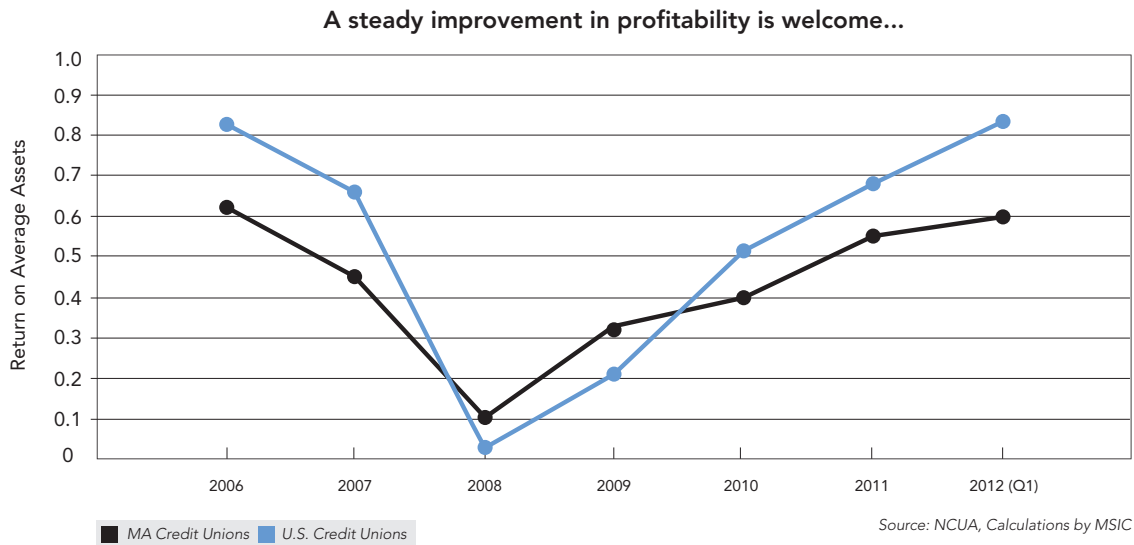
Figure 6

...the ratio of loans to assets continues to decline.



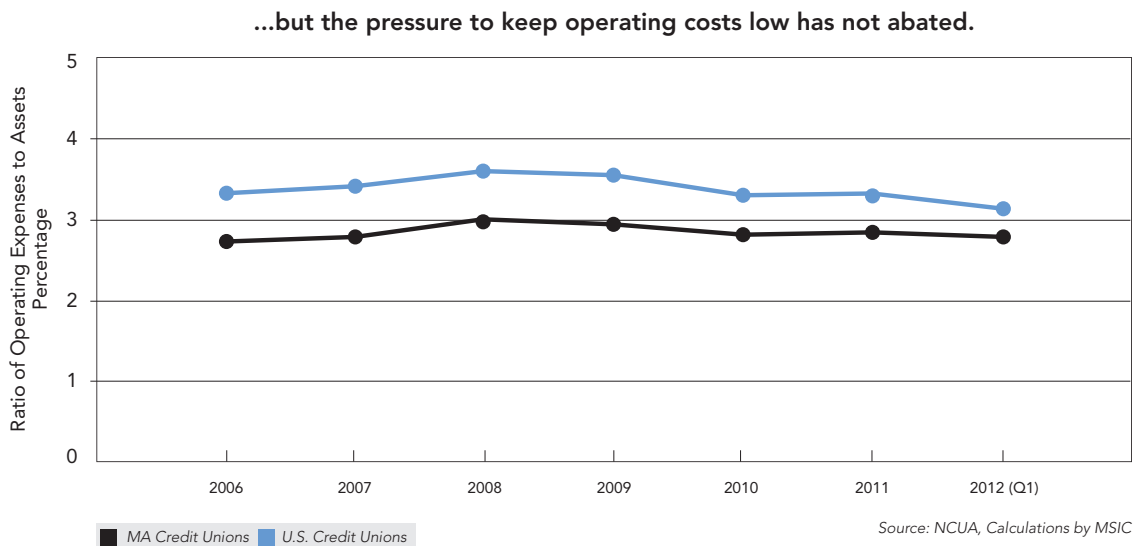
This leaves smaller and medium sized financial institutions in the very challenging position of having to either take on more risk or tolerate smaller profit margins (and in some cases small losses). While return on average assets is approaching pre-recession levels, (see Figure 7), moderate loan demand and low interest rates are limiting the degree to which this improvement is having an impact on the bottom line of all but the largest institutions.

Figure 7



While the ratio of operating costs to assets has remained steady (see Figure 8), the low-inflation, low interest rate environment can be expected to continue to put pressure on institutions to lower their operating expenses. Given that operating costs appear to be relatively low already, this suggests that institutions either need to pursue opportunities to benefit from economies of scale through consolidation, collaboration (e.g., shared services arrangements), or find new ways of doing business more efficiently.

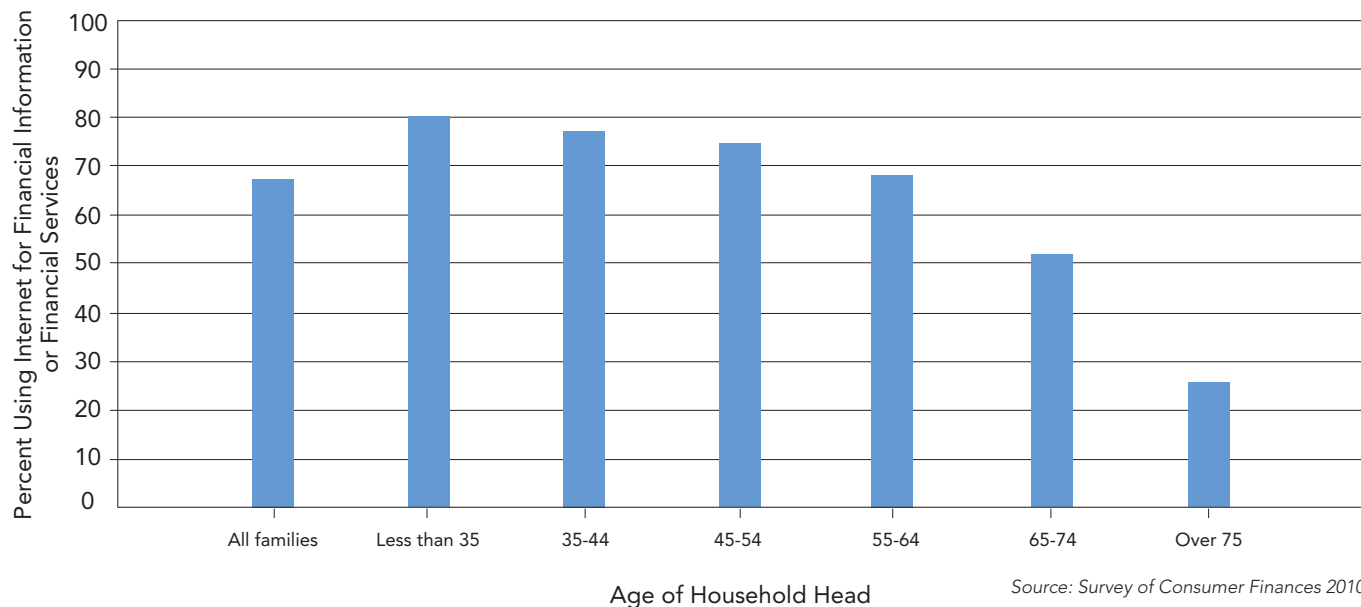
Figure 8



Technology continues to offer the promise of helping community based financial institutions by providing a means of reaching new members/customers, delivering services more cost effectively, and facilitating new sources of revenue through additional fee-based services. As can be seen in Figure 9, the Federal Reserve's latest Survey of Consumer Finances documents the growing importance of and opportunity presented by Internet-based services.

Figure 9

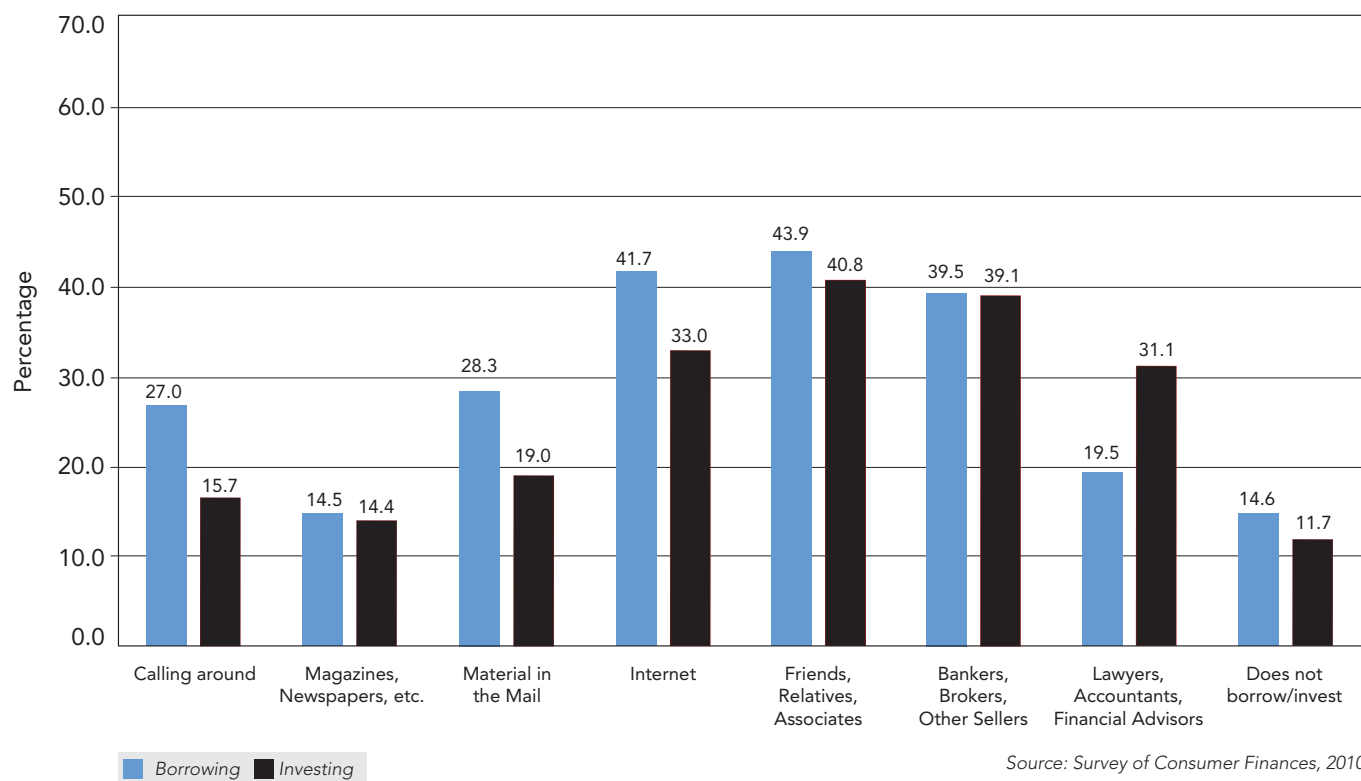
The Future of the Financial Services Industry is Online



As can be clearly seen in Figures 9 and 10, the use of the Internet as a means of obtaining financial information, selecting a financial services provider, and receiving financial services is very widespread in all but the oldest age cohorts, and can be expected to increase as today's younger customers grow older.

Figure 10

Information Used for Decisions About Borrowing and Investing



While not without costs or risk, developing a more sophisticated online presence is increasingly a competitive imperative and represents a very promising way for smaller institutions to both control costs, expand their customer base, and generate much needed non-interest income. Such an approach need not come in conflict with the traditional mission of credit unions and other community based financial institutions. Arguably, it enhances the ability of these institutions to meet the needs of the communities they serve. As Federal Reserve Governor Sarah Bloom-Raskin recently noted¹³:

A number of customers may still prefer the personal touch of coming into the branch, but I'm also willing to bet that an increasing number of your customers expect to be able (to) do business electronically when it is convenient for them, not necessarily during the bank's regular business hours.... Innovation is about much more than technology, however. You have a special responsibility – and ability – to combine your knowledge of your communities' financial needs with real relationship lending in a way that benefits your local markets and is profitable to your banks. As we have seen during the financial crisis, healthy, profitable banks are well positioned to continue lending to creditworthy borrowers.

Your personal experience with the people of your towns – your knowledge of their needs and resources – is the best path toward maintaining a high-road business model. Your knowledge of how to pair the needs of your communities with holistic, boots-on-the-ground, due diligence and underwriting means that you have a powerful antidote to the mechanistic low-road approach to finance that has imperiled our economic well-being so palpably in recent years. With this knowledge, and the actions you take as bankers to implement that knowledge, you can be the engines of banking innovation....

Concluding Thoughts: In the Eye of the Storm

For some time now it has been difficult to escape the steady drumbeat of bad news about the evolving crisis in the Eurozone and the looming fiscal cliff the U.S. is currently barreling towards. The feckless manner in which U.S. and Eurozone policymakers are managing these twin crises is contributing to a growing sense of uncertainty about the future, which is pretty much the last thing our fragile national economic recovery needs at this point.

In June, the U.S. Bureau of Labor Statistics estimated that nearly 21 million Americans were either unemployed or working part time for economic reasons¹⁴. Beyond the profound personal impact on these workers and their families, the sheer scale of our labor market problems is a significant part of the reason why we have been growing so slowly.

The most recent small business survey conducted by the National Federation of Independent Businesses¹⁵ – the nation's leading association of small business owners – confirms what similar data have been telling us for the past several years. Expectations of slow sales growth are leading many employers to delay hiring and keep their operating costs low, and these sentiments are contributing to the disappointing pace of our national economic recovery.

Given the recent track record of our national political institutions, it is not surprising that many employers are adopting a "wait and see" attitude. While in many cases this may well be a rational response to current conditions, what may be rational for an individual firm can easily become a collective slowdown in aggregate terms.

The more uncertain future growth prospects appear to these employers, the less we can rely on them to take the risks and make the investments that will be required to turn the nation's lackluster recovery into a more robust one. Even in a more certain environment this would be a major problem.

¹³ Bloom- Raskin, S. (2012). *How Well Is Our Financial System Serving Us? Working Together to Find the High Road*. Accessed at: <http://www.federalreserve.gov/newsevents/speech/raskin20120723a.htm> on July 24, 2012.

¹⁴ See <http://www.bls.gov/news.release/empsit.a.htm>, accessed on August 8, 2012.

¹⁵ See <http://www.nfib.com/research-foundation/surveys/small-business-economic-trends>, accessed on August 8, 2012.

The evolving crisis in the Eurozone is especially worrisome for Massachusetts, which is more dependent on trade with Europe than the nation as a whole. In 2011, just under 40 percent of state exports were shipped to Europe, nearly twice the share of U.S. exports.

While to a significant degree the Eurozone crisis is beyond the direct control of U.S. policymakers, we do retain control of our own fiscal policy. The unwillingness of our national political institutions to make prudent and decisive fiscal policy choices threatens to stall the state and national recovery, a prospect that should strike fear in the hearts of state policymakers and inspire swift action from their federal counterparts.

To a troubling extent, the near-term fate of the U.S. economy rests in the hands of the leaders of national political institutions on both sides of the Atlantic. Should they manage to effectively navigate the substantial risks to the global economy in coming months, the outlook will be for a continued slow but steady recovery.

According to the most recent economic forecast for Massachusetts prepared by the New England Economic Partnership¹⁶, "The Massachusetts economy is expected to continue to expand at a moderate pace. This assumes that the effects of the economic crisis in Europe and the slowing Chinese economy will be more than offset by growing demand within the U.S., and that the looming fiscal austerity scheduled to begin in 2013 will be softened by post-election compromises in Washington." Should these assumptions hold, the Commonwealth's moderate expansion is expected to be accompanied by a slow but steady recovery in the state's housing market.

If not, and national leaders once again shirk their responsibility to directly address both the long and short-term fiscal and economic challenges facing their respective nations, the near-term outlook for the national, the Massachusetts, and the global economy is far murkier.

In purely economic terms, Massachusetts and the nation appear to be through the worst of the financial crisis and the extended housing downturn. However, in light of the considerable risk factors facing the global economy, what appears to be steadily improving conditions may simply be the eye of the storm.

¹⁶ Clayton-Matthews, A. (Spring, 2012). "The Economic Outlook for Massachusetts". New England Economic Partnership.

Industry Data Appendix

Shares & Deposits

	MA
2006	19,766,830,540
2007	20,135,829,578
2008	21,184,063,130
2009	23,088,686,032
2010	23,745,901,081
2011	24,342,856,261
March 2012	25,581,919,839

	U.S.
2006	612,270,465,986
2007	644,171,213,557
2008	691,764,660,983
2009	763,341,587,323
2010	797,303,427,039
2011	838,505,579,842
March 2012	877,650,453,746

Index 2006

	MA	U.S.
2006	100.0	100.0
2007	101.9	105.2
2008	107.2	113.0
2009	116.8	124.7
2010	120.1	130.2
2011	124.7	137.0
March 2012	129.4	143.3

Loans

	MA
2006	17,366,351,953
2007	18,207,553,719
2008	19,368,250,832
2009	19,191,416,691
2010	19,254,041,205
2011	19,919,142,284
March 2012	20,007,463,372

	U.S.
2006	503,211,810,713
2007	536,544,017,601
2008	574,752,125,713
2009	580,454,237,454
2010	572,445,189,342
2011	578,972,981,314
March 2012	579,463,522,975

Index 2006

	MA	U.S.
2006	100.0	100.0
2007	104.8	106.6
2008	111.5	114.2
2009	110.5	115.3
2010	110.9	113.8
2011	114.7	115.1
March 2012	115.2	115.2

Membership

	MA
2006	2,400,377
2007	2,442,198
2008	2,472,467
2009	2,445,269
2010	2,478,755
2011	2,489,819
March 2012	2,507,568

	U.S.
2006	86,765,767
2007	88,181,767
2008	89,916,659
2009	91,192,455
2010	91,758,307
2011	93,054,800
March 2012	93,735,068

Index 2006

	MA	U.S.
2006	100.0	100.0
2007	101.7	101.6
2008	103.0	103.6
2009	101.9	105.1
2010	103.3	105.8
2011	103.7	107.2
March 2012	104.5	108.0

Summary Performance Ratios for Massachusetts and United States Credit Unions

Date	State	Total Assets (\$)	Number of Credit Unions	Net Worth to Assets (%)	Del. Loans to Net Worth (%)	Del. Loans to Loans (%)	ALL to Loans (%)	Loans to Assets (%)	Loans to Shares (%)	NIM to Average Assets (%)	PLLL to Assets (%)	Fee & Other Inc to Assets (%)	OpExp to Assets (%)	ROAA (%)	ROAA Before NCUSIF stab/Premium (%)
03-31-12	Massachusetts	30,572,412,139	209	10.26	8.33	1.31	1.31	65.44	78.21	2.83	0.28	0.83	2.79	0.60	0.62
12-31-11	Massachusetts	29,753,093,754	210	10.43	9.51	1.48	1.29	66.95	80.79	2.94	0.32	0.75	2.83	0.55	0.75
12-31-10	Massachusetts	28,441,963,383	217	10.37	12.12	1.53	1.29	67.70	81.62	3.05	0.63	0.79	2.83	0.40	0.61
12-31-09	Massachusetts	27,740,768,163	218	10.25	13.32	1.61	1.16	69.18	83.85	2.89	0.77	0.78	2.95	0.32	0.24
12-31-08	Massachusetts	26,529,357,855	222	10.48	9.44	1.19	0.74	73.01	92.42	2.90	0.56	0.72	2.96	0.10	-
12-31-07	Massachusetts	24,623,179,230	229	11.26	6.30	0.87	0.56	73.94	90.99	2.89	0.34	0.69	2.81	0.45	-
12-31-06	Massachusetts	23,654,420,983	235	11.30	4.27	0.62	0.52	73.42	88.26	2.96	0.27	0.66	2.74	0.62	-
03-31-12	United States	1,014,767,797,831	7,165	10.01	8.28	1.45	1.52	57.10	66.02	2.98	.40	1.31	3.09	0.83	0.88
12-31-11	United States	926,610,091,685	7,240	10.23	9.37	1.61	1.55	59.43	69.05	3.13	0.50	1.30	3.27	0.68	0.88
12-31-10	United States	926,610,091,685	7,491	10.07	12.82	1.71	1.64	61.78	72.35	3.26	0.77	1.33	3.30	0.52	0.73
12-31-09	United States	896,833,133,516	7,710	9.91	14.35	1.77	1.49	64.72	76.84	3.22	1.10	1.36	3.55	0.21	0.17
12-31-08	United States	823,628,865,619	7,968	10.65	11.25	1.33	1.06	69.78	84.15	3.18	0.88	1.34	3.59	0.02	-
12-31-07	United States	766,999,680,910	8,255	11.44	6.10	0.92	0.73	69.95	84.06	3.11	0.43	1.34	3.39	0.66	-
12-31-06	United States	722,703,603,558	8,434	11.53	4.51	0.68	0.67	69.63	82.82	3.16	0.31	1.28	3.32	0.83	-

Source: NCUA, calculations by MSIC

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